

CATEGORY	MEANING	SUITABLE FOR THOSE WITH
Equity Linked Saving Schemes (ELSS)	ELSS is a special kind of tax saving mutual fund where investments can be claimed for deduction under Section 80C. It produces good returns due to the presence of the 3-year lock-in.	• Claiming 80C deductions • Tax-saving Goals: Long-term
Index Funds	They mainly focus on a predetermined index and trade based on that. They can follow Nifty50, Nifty100, or anything else too. ETFs are also a category of this. We will discuss this in great detail soon	• Low expense ratio • Low liquidity
Global Funds	Funds that invest outside India too. The foreign currency also becomes a factor here.	• Risk-taking ability: High • Best if avoided by individuals
Multi-cap Funds	These invest in a mix of large cap, mid cap, and small cap stocks in a proportion seen fit by the fund manager and those in the fund's mandate.	• Time horizon: 7+ years • Risk-taking ability: moderate to high